

Identify the deficiency: a control that is missing, or one that did not operate as designed



Likelihood: is a misstatement reasonably possible, whether or not one occurred?



Magnitude: how large could it be, against materiality?



Compensating controls: do other controls catch it, precisely enough?



Combine the deficiencies that affect the same account or assertion



Material weakness: a reasonable possibility that a material misstatement is not prevented or detected on time

Significant deficiency: less severe, but important enough to merit the attention of those who oversee financial reporting

Deficiency: reported to management, with the action that will fix it

Then report: internal audit rates each finding, agrees on action plans with management, and monitors them until they are complete